

Municipal Market Update

- **The Federal Reserve** – Increased geopolitical tensions with China and global economic uncertainty have led to a flattening and inversion of the yield curve. In December 2018, market consensus showed the Fed hiking rates potentially twice more in 2019, after four hikes in 2018. Due to the slowing of global growth and geopolitical tensions, the Fed has decreased the Federal Funds Target Range to 2.00% - 2.25%. The Fed next meets in September, with the meeting concluding on September 18th.
- **Interest Rates** – **The U.S. Treasury yield curve has flattened thus far in 2019 and at certain points has inverted.** As of September 3rd, the 1-year UST Bill was 25 basis points higher than the 10-yr UST Note which closed at 1.47%. The 10-year UST Note and the 2-yr UST Bill both closed at 1.47%. Further, Market conditions are very favorable for municipal issuers right now, as the Municipal Market Data (“MMD”) yields have decreased consistently since early November 2018. At that point, the 10 year, 20 year, and 30 year MMD yields were 2.77%, 3.31%, and 3.45%, respectively. On September 3, 2019, the equivalent yields were 1.22%, 1.65%, and 1.84%, representing **decreases of 155, 166, and 161 basis points**. The graph directly below illustrates the decrease in the MMD yields from December 2017 to September 2019.

